



**COLLEGE OF BUSINESS AND ECONOMICS  
DEPARTMENT OF ACCOUNTING & FINANCE  
MODEL EXAM ON ACCOUNTING FOR PUBLIC SECTOR AND CIVIC SOCIETY  
PREPARED FOR REGULAR 4<sup>TH</sup> YEAR AcFn STUDENTS**

*Total weight: 50%*

*Time allocated: 2:30*

**INSTRUCTIONS:**

- 1. READ THE QUESTIONS CAREFULLY BEFORE YOU ATTEMPT.**
- 2. MAKE SURE THAT THE EXAM HAS 50 MULTIPLE CHOICES QUESTIONS**
- 3. WRITE YOUR ANSWERS NEATLY ON THE ANSWER SHEET PROVIDED**
- 4. ANY ATTEMPT OF CHEATING NULLIFIES YOUR RESULTS.**
- 5. SWITCH OFF YOUR CELL PHONE**

**STUDENT INFORMATION**

**FULL NAME:** -----

**ID. NO:** \_\_\_\_\_

***WISH YOU BEST OF ALL THE LUCKS!!***

## ***Model Exam on APSCS***

### **Part I: Multiple choices**

1. The Financial Accounting Standards Board serves as the standard setting body for
  - A. State and local governments
  - B. Private not-for-profit organizations
  - C. Private not-for-profit organizations
  - D. Public not-for-profit organizations
  - E. The federal government
  - F. Both B and C
2. A Subsidiary Ledger is not maintained for all accounts in the General Ledger. Subsidiary Ledgers are only maintained for accounts:
  - A. Within the General Ledger that requires more detail than simply the total account balance.
  - B. Selected by the management
  - C. Selected by the accountant
  - D. A and B
3. Governments differ from business organizations in which one of the following ways
  - A. Governments are subject to formal and restrictive budgets
  - B. Governments receive resources that are restricted to being used for a particular purpose
  - C. Governments engage in non-exchange transactions
  - D. Governments lack residual ownership claims
  - E. All of the above
4. Two criteria define whether an account code is a control account with a related Subsidiary Ledger. These are:
  - A. Monthly reporting requirements
  - B. Indicated in the chart of accounts
  - C. Management and control of the account balance
  - D. A and C
5. A Subsidiary Ledger is not maintained for items of revenue, because:
  - A. there is no need of management control on revenue
  - B. there is no reporting requirement at the level of each BI
  - C. revenue is not budgeted
  - D. revenue is not recognized at the BI level
  - E. All of the above
6. Choose the correct statement in relation the 'Transfer Report.'
  - A. Its purpose is to serve as a control tool to verify cash transfers between MOFED and an Accounting unit.
  - B. The accountant prepares a transfer report for each accounting unit.
  - C. The source documents to prepare the Transfer Report are the General Ledger Cards.
  - D. Its purpose is to service as a control to verify cash transfers between an Accounting unit and MOFED.

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- E. All of the above.
7. Which of the following represents a similarity between the environment of not-for-profit organizations and the environment of governmental organizations?
- A. Not-for-profit organizations do not have residual owners
  - B. The excess of revenues over expenses is not an effective performance measure for the organization
  - C. The accounting practices closely resemble those of commercial businesses
  - D. Not-for-profit organizations often receive resources with donor-imposed restrictions
  - E. A, B, and D are correct
8. Most of the time people of Ethiopia complain that “**as there are enough hospitals in Ethiopia but there is shortage of medicine in those hospitals**” as you are finance student how you explain this gap in terms of Budget policy;-
- A. Lack of public expenditure management
  - B. Limiting expenditure to revenue & debt targets not yet done
  - C. Balance capital & recurrent expenditure not maintained
  - D. All
9. Which of the following is odd;-
- A. Paying salary of doctors
  - B. Hospitals construction
  - C. Purchasing of medicine for hospitals
  - D. Repair and maintenance of hospitals
  - E. None
10. The primary focus of business accounting is profitability. The primary focus of government accounting is:-
- A. Checks and balance
  - B. Accountability
  - C. Recording spending
  - D. Following the rule of democracy
  - E. None
11. For a state or local government, capital assets include
- A. Land and improvements to land
  - B. Buildings, equipment, and vehicles
  - C. Infrastructure
  - D. All of the above
  - E. Both A and B

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12. Which of the following statements about long-term debt is true?
- A. Reporting of long-term debt is not consistent with the current financial resources measurement focus, so this debt is not reported in any of the financial statements of the government.
  - B. Long-term debt, including bonds and leases payable, is reported on the government-wide Statement of Net Assets.
  - C. The current financial resources measurement focus requires a governmental fund to report its long-term liabilities, but not its fixed assets, on the fund-based financial statements
  - D. Both B and C
  - E. None of the above
13. \_\_\_\_\_ is a standard used by Federal Government of Ethiopia as a basis for establishing the financial statements.
- A. IFRS
  - B. IPSAS
  - C. IAS
  - D. GAAS
  - E. None of the above
14. All of the following are interested in the financial reports produced by FGE; except
- A. Share holders
  - B. Employees
  - C. Donors
  - D. Legislature
  - E. A&B
15. The General Accounting Standards Board serves as the standard setting body for
- A. State and local governments
  - B. Private not-for-profit organizations
  - C. The federal government
  - D. Both B and C
16. Governments differ from business organizations in which one of the following ways
- A. Governments are subject to formal and restrictive budgets
  - B. Governments receive resources that are restricted to being used for a particular purpose
  - C. Governments engage in non-exchange transactions
  - D. Governments lack residual ownership claims
  - E. All

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17. GASB classifies which of the following as governmental funds

- A. Permanent
- B. Special revenue
- C. Debt service
- D. All of the above
- E. None

18. Assume that on July 11, 2019 MOFED transferred cash which amount 100,000.00 birr to Ministry of Education bank account and during this transfer process 10% of total amount of bank service is charged by CBE. The journal entry on MOFED may be;-

- A. Appropriate transfer account- Debit 100,000.00
- B. Cash at bank- Credit by 90,000.00
- C. Bank service charge- Debit by 10,000.00
- D. Appropriate transfer account- Debit by 90,000.00
- E. B&D

19. On the above question **No. 18, the journal entry by MOE may be;-**

- A. Appropriate transfer account- Debit 100,000.00
- B. Cash at bank- Debit by 90,000.00
- C. Bank service charge- Debit by 10,000.00
- D. Appropriate transfer account- Credit by 90,000.00
- E. B&C

20. The source documents for entries in the ledger is:

- A. receipt vouchers
- B. payment voucher
- C. journal voucher
- D. transaction register
- E. Accountant

**21. What Is a Not-For-Profit Entity?**

- A. Any organization, which is established with objective other than profit making
- B. A government is a body that has the power to make and the authority to enforce rules and laws within a civil, corporate, religious, academic, or other organization
- C. A and B
- D. None

**22. Which one of the following is an Example of Governments in Ethiopia:**

- A. Federal government of Ethiopia and its agencies
- B. The Nine Regional State Governments and Two Administrative City councils

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- C. 76 Zonal Level Local Governments
- D. 587 District Level Local Governments

23. The purpose of control accounts and subsidiary ledger accounts is:

- A. to facilitate the report generation process
- B. minimize the size of the General Ledger
- C. maintain sufficiently detailed records regarding account balances
- D. To assist proper financial management.
- E. All of the above

24. The source document to record a receipt of cash from the Accountant in the petty cash Book is the,

- A. Cash payment voucher
- B. Transaction register
- C. General ledger
- D. A and B only
- E. None

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25. -----is a legal authorization granted by the legislative body to incur liabilities for purposes specified in the appropriation act or ordinance
- A. Encumbrance  
B. Appropriation  
C. Estimated revenue  
D. All
26. -----is an estimated amount recorded for purchase orders, contracts, or other expected expenditures chargeable to an appropriation.
- A. Appropriation  
B. Encumbrance  
C. Estimated revenue  
D. All
27. Choose the correct answer about the input document used to record a payment of cash by the cashier in the petty cash book.
- A. General ledger  
B. Subsidiary ledger  
C. Bank payment voucher  
D. Check  
E. None
28. A Payable usually are created when:
- A. Cash is transferred but must be returned unless certain conditions are met.  
B. Advances are given with the understanding that the amount must be repaid or otherwise accounted for, or goods or services must be delivered.  
C. Cash is received but must be returned unless certain conditions are met.  
D. A& B  
E. None of the above
29. Assume that Ministry of Education transfers of cash of Birr 100,000 to Ministry of Health.
- This transaction is recorded:
- A. By **MoE**, as a debit to cash at Bank 4103 and a credit to transfer code 4008.  
B. By **MoH**, as a debit to transfer code 4008 and a credit to Cash at Bank 4103.  
C. By **MoE**, as a debit to appropriate transfer account and a credit to cash at Bank 4103  
D. A & B.  
E. None

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30. Classification of revenue and estimated revenue based on source of revenue

- A. Taxes (Ad-valorem and self-assessing)
- B. Special Assessments
- C. Licenses and Permits
- D. Intergovernmental Revenues
- E. All

31. Which of the following is Accounting Control over revenues

- A. Estimated Revenues
- B. Revenues
- C. Expenditure
- D. A and B
- E. All

32. Cash transfers from bank accounts of public Bodies to MOFED bank accounts are recorded:

- A. By MOFED, as a debit to Cash at Bank 4105 and a credit to the appropriate transfer code
- B. By the Public Body, as a debit to the appropriate transfer code and a credit to Cash at Bank 4103.
- C. By the Public Body, as a debit to the appropriate receivable account and a credit to Cash at Bank 4103
- D. A&B
- E. None

33. The amount owed to a public body that does not have terms of repayment detailed in a signed agreement is?

- A. Receivable
- B. Payable
- C. Transfer
- D. None of the above

34. Each year the following are must begin with a zero balance in all general and subsidiary ledger cards except:

- A. Revenue
- B. External Loan account
- C. Transfer account
- D. Letter of credit

35. If the letter of credit is open by MOFED on behalf of PB, then the public body will perform the following records, except;

- A. Records a cash transfer to PB
- B. Records the cash transfer as expenditure for its regular BA
- C. Records the letter of credit in another transaction register for the restricted BA

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D. None

36. Which of the following is true about general ledger and controlling account?

A. all controlling account are general ledger

B. all general ledger are controlling account

C. controlling accounts do not provide information for preparation of reports

D. all general ledger are sources of information to complete reports

E. None

37. The purpose of control accounts and subsidiary ledger accounts is:

A. to facilitate the report generation process

B. minimize the size of the General Ledger

C. maintain sufficiently detailed records regarding account balances

D. to assist proper financial management.

E. All of the above

38. Which of the following is Accounting Control over Expenditures?

A. Appropriations

C. Expenditures

B. Encumbrances

**D. All**

39. Program revenues are reported in----- categories.

A. Charges for services

C. Capital grants and contributions

B. Operating grants and contributions

D. Al

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40. What measurement focus and basis of accounting is used in the government-wide financial statements?
- A. Economic resources measurement focus and accrual basis of accounting
  - B. Current financial resources measurement focus and modified accrual basis of accounting
  - C. Economic resources measurement focus and modified accrual basis of accounting
  - D. Current financial resources measurement focus and accrual basis of accounting
41. Accounts in the Subsidiary Ledger provide information on:
- A. total expenditures by type of budget managed by the accounting unit
  - B. item of expenditure for each BI managed by the accounting unit
  - C. all of the above
  - D. None
42. In 2012, the governing board of the City of G authorized construction of an addition to the police station. The total cost was expected to be \$2,500,000, with \$700,000 to be financed by a grant from the state government and \$300,000 to be transferred from an enterprise fund of the City of G. The entry to record the receivables from the enterprise fund and the grant from the state would be:
- A. Debit Accounts Receivable \$1,000,000 Credit: Revenues Control \$1,000,000
  - B. Debit Due from Other Funds \$300,000 Debit due from Other Governments \$700,000  
Credit: Other Financing Sources - Transfers In \$300,000 Credit: Revenues Control \$700,000
  - C. Debit Accounts Receivable \$1,000,000 Credit: Other Financing Sources - Transfers In \$300,000
  - D. Debit Due from Other Funds \$1,000,000 Credit: Other Financing Sources - Transfers In \$1,000,000
43. Which one of the following are Classification of appropriations and Expenditures by Character
- A. Current Expenditure
  - B. Capital Expenditure
  - C. Debt Service Expenditure
  - D. All

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44. Where total net cumulative debit or credit balance for all Ledger Cards in the subsidiary Ledger is not equal to the net cumulative debit or credit balance on the respective control account's Ledger Card in the General ledger, an error exists. Which one is the possible error?
- A. Different amounts are transcribed to the general and subsidiary ledger
  - B. Entry is posted to the wrong side on the subsidiary ledger or controlling account
  - C. Arithmetic error in computing the account balance in controlling account
  - D. All of the above
  - E. None of the above
45. Which of the following is correct with respect to Internal Service Funds?
- A. Internal service funds use modified accrual accounting and the current financial resources measurement focus
  - B. Net position is to be reported in two categories: assigned and unassigned
  - C. Internal service funds account for long-term debt but not capital assets
  - D. All of the above are false statements
46. Proprietary funds utilize what basis of accounting?
- A. Modified accrual.
  - B. Budgetary
  - C. Cash.
  - D. Accrual.
47. Which of the following are best described as proprietary funds?
- I. Internal Service funds
  - II. Pension funds
  - III. Enterprise funds
- A) I only.
  - B) I and II.
  - C) I, II, and III.
  - D) I and III.
48. Classification of revenue and estimated revenue based on source of revenue
- A. Taxes (Ad-valorem and self-assessing)
  - B. Special Assessments
  - C. Licenses and Permits
  - D. Intergovernmental Revenues
  - E. All
49. Activities that produce goods or services to be provided to other departments or other governmental units would be reported in which fund?

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A) Internal service fund

C). Enterprise fund.

B) Agency fund.

D) Advance fund.

50. Governmental units use which fund type to account for services provided to the general public on a user-charge basis?

A) Enterprise fund.

B) Internal service fund.

C) Permanent fund.

D) General Fund.

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**Answer sheet**

Name\_\_\_\_\_ Id.No.\_\_\_\_\_.

|     |     |     |     |     |
|-----|-----|-----|-----|-----|
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| 46. | 47. | 48. | 49. | 50. |